

# Household Heterogeneity and the Transmission of Foreign Shocks

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## Abstract

We study the role of heterogeneity in the transmission of foreign shocks. We build a Heterogeneous-Agent New-Keynesian Small Open Model Economy (HANKSOME) that experiences a current account reversal. Households' portfolio composition and the extent of foreign currency borrowing are key determinants of the magnitude of the contraction in consumption associated with a sudden stop in capital inflows. The contraction is more severe when households are leveraged and owe debt in foreign currency. In this setting, the revaluation of foreign debt causes a larger contraction in aggregate consumption when debt and leverage are concentrated among poorer households. Closing the output gap via an exchange-rate devaluation may therefore be detrimental to household welfare due to the heterogeneous impact of the foreign debt revaluation. Our HANKSOME framework can rationalize the observed “fear of floating” in emerging market economies, even in the absence of contractionary devaluations.

**Keywords** sudden stops, foreign currency debt, exchange rate policy, incomplete markets

**JEL codes** F32, F41, E21

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GitHub Repo: <https://github.com/Siyong99/de-Ferra2020-kz>  
Notebook: [deFerra2020\\_bellman-stages.ipynb](#)  
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A **REMARK** exploring de Ferra, Mitman, and Romei (2020)

# 1 Introduction

In the aftermath of the East Asian financial crisis, a debate emerged about the desirability of floating exchange rate regimes. Contrary to the view that floating exchange rate regimes were beneficial and that the severe economic costs of the crisis were due to a lack of exchange rate adjustment, Calvo and Reinhart (2002) documented a phenomenon since then known as “Fear of floating.” This phenomenon refers to the observation that policymakers in many countries are unwilling to let nominal exchange rates experience large fluctuations, preferring to make use of official reserves to absorb external pressures.

Interest in the topic of optimal exchange rate adjustment in response to a contraction in capital inflows has received renewed attention after the Global Financial Crisis. In Europe, various countries experienced sudden stops and current account reversals, which were associated with severe recessions. Importantly, while many have focused on the experience of countries in the euro area, such as Greece, countries outside the monetary union like Hungary and Latvia also witnessed sharp current account reversals, which were accompanied by large depreciations of the exchange rate.

Verner and Gyöngyösi (2018) document that a crucial channel of transmission of the crisis in Hungary was the one of households’ foreign-currency debt, whose real value rose substantially upon the exchange rate depreciation, giving rise to large contractions in consumption for the affected households. Motivated by the evidence of the Hungarian experience, we study a model of a small open economy subject to a capital flow reversal, where the exchange rate is flexible and where households hold debt in foreign currency.

To study the role of household heterogeneity in the transmission of foreign shocks, we develop a quantitative Heterogeneous-Agent New-Keynesian Small Open Model Economy (HANKSOME) that embeds domestically incomplete markets into the leading frameworks for open-economy macroeconomics. The household side follows the standard Bewley-İmrohoroglu-Huggett-Aiyagari model that can capture the rich heterogeneity in household income, consumption and wealth. The production side features New Keynesian elements: nominal rigidities in prices and capital adjustment costs. Finally, the household and domestic production blocks are integrated into the standard open-economy macro framework (Obstfeld and Rogoff, 2000; Svensson, 2000; Galí and Monacelli, 2005).

Introducing domestically incomplete markets into the standard open-economy macroeconomics framework allows us to capture the redistribution of resources across households in response to shocks. With borrowing constraints and incomplete insurance, households are heterogeneous in their marginal propensities to consume (MPCs). To the extent that shocks redistribute resources toward high or low MPC households, the effects of the shock can be amplified or muted relative to the representative agent model.

We calibrate the model to match salient features of the Hungarian economy in the 2000s. We then use our calibrated HANKSOME framework to study the effect of a sustained expansion in the current account and then an unexpected reversal. We find that in this setting a large exchange rate devaluation that achieves full employment is detrimental from a welfare perspective due to the foreign debt revaluation it entails.

Our framework can therefore provide a rationalization for “fear of floating” even in the absence of contractionary devaluations.

The paper is organized as follows. Section 2 presents our small open economy incomplete markets model with nominal rigidities. Section 3 discusses the role of heterogeneity. In Section 4 we discuss how we bring the model to the data. We outline our main experiments in Section 5 and describe our results in Section 6. Section 7 inspects the mechanism, and Section 8 concludes.

## 1.1 Related literature

We contribute to the strand of the literature on international macroeconomics that investigates why exchange rate devaluations may be an ineffective, or detrimental, policy response to an external shock suffered by a small open economy. Calvo and Reinhart (2002) is a seminal paper in this literature, documenting empirically the “fear of floating” in nominal exchange rates.

We also contribute to the growing literature combining incomplete-markets models with nominal rigidities in the open-economy context. Our HANKSOME framework embeds the standard Bewley-İmrohoroglu-Huggett-Aiyagari household problem into the New Keynesian small open economy framework of Galí and Monacelli (2005).

# 2 Model

The model is a small open economy with nominal price rigidities as in Galí and Monacelli (2005), augmented with capital and domestically incomplete markets for households as in Huggett (1993); Aiyagari (1994).

## 2.1 Households

The economy consists of a continuum of agents normalized to measure 1 who are ex-ante homogeneous, and have CRRA preferences over consumption of home and foreign goods and leisure:

$$U = E_0 \sum_{t=0}^{\infty} \beta^t [u(c_t) - g(l_t)] \quad (1)$$

where  $\beta \in (0, 1)$  is the households’ subjective discount factor,  $g(l_t) = \varphi \frac{l_t^{1+1/\eta}}{1+1/\eta}$  represents the disutility of supplying labor  $l_t$ , and  $c_t$  is a CES aggregate of home and foreign goods with elasticity of substitution  $\theta$ .

Households’ labor productivity  $\{s_t\}_{t=0}^{\infty}$  is stochastic and is characterized by an  $N$ -state Markov chain that can take values  $s_t \in S = \{s_1, \dots, s_N\}$  with transition probabilities given by  $\gamma(s_{t+1} | s_t)$ .

At time  $t$  an agent faces the following nominal budget constraint:

$$P_t c_t + a_{t+1} = (1 + i_t^a) a_t + W_t l_t s_t + d_t \quad (2)$$

where  $P_t$  is the consumer price index,  $d_t$  are dividends distributed by firms, and  $i_t^a$  is the nominal return on the asset portfolio. In addition, households are subject to a borrowing constraint  $a_{t+1} \geq \bar{a}$ .

The household's problem can be written recursively as:

$$V(a, s; \Omega) = \max_{c \geq 0, a' \geq \bar{a}} \left\{ u(c) - g(l) + \beta \sum_{s' \in S} \gamma(s' | s) V(a', s'; \Omega') \right\} \quad (3)$$

subject to  $Pc + a' = (1 + i^a)a + Wls + \pi$  and  $\Omega' = \Upsilon(\Omega)$ , where  $\Omega$  is the distribution of agents' asset holdings and labor productivity across the population.

## 2.2 Households' portfolio

There are two broad classes of assets, bonds and capital. Nominal assets carried by the household into the following period are:

$$a_{t+1} = b_{H,t+1} + e_t b_{F,t+1} + P_{H,t}(q_t k_{t+1} + \tilde{b}_{H,t+1}) \quad (4)$$

where  $b_{H,t+1}$  and  $b_{F,t+1}$  denote nominal bonds in domestic and foreign currency,  $e_t$  is the nominal exchange rate,  $q_t$  is the real price of capital, and  $\tilde{b}_{H,t+1}$  are real bonds in units of home good.

## 2.3 Production

A representative final-goods firm operates a CES production technology that aggregates domestic intermediate goods. Intermediate-goods firms operate a Cobb-Douglas technology  $Y_{jt} = K_{jt}^\alpha L_{jt}^{1-\alpha}$  and set prices subject to Rotemberg adjustment costs, yielding a standard New Keynesian Phillips Curve.

## 2.4 Monetary policy

We consider two regimes: (i) a fixed exchange rate regime where  $e_t = \bar{e}$  for all  $t$ , and (ii) a flexible exchange rate regime where the central bank adjusts the exchange rate to achieve the flexible price allocation.

# 3 Understanding the role of heterogeneity

What role do domestically incomplete markets play in shaping the aggregate response to foreign shocks? Consider an unexpected shock to the exchange rate,  $\Delta e_t$ . The implied change in wealth  $\Xi_{it}$  varies across households and is given by  $\Xi_{it} = \Delta e_t \cdot b_{F,t}$ . The consumption response is:

$$\partial C_t = \overline{\text{MPC}}_t \cdot \bar{\Xi}_t + \text{Cov}(\text{MPC}_{it}, \Xi_{it}) \quad (5)$$

In the absence of heterogeneity,  $\partial C_t = \overline{\text{MPC}}_t \cdot \bar{\Xi}_t$ , as in the representative agent model. The contribution of domestically incomplete markets is captured through  $\text{Cov}(\text{MPC}_{it}, \Xi_{it})$ : if high MPC households tend to be more exposed, the consumption response is amplified.

## 4 Calibration

We calibrate the framework to the economy of Hungary—an example of a small open economy with high concentration of foreign denominated debt going into the Global Financial Crisis. Key parameters include the intertemporal elasticity of substitution  $1/\sigma = 1$ , home goods share  $\chi = 0.6$ , discount factor  $\beta = 0.983$ , capital share  $\alpha = 0.33$ , and Rotemberg adjustment cost  $\zeta = 100$ .

## 5 Experiments

To study the implications of a reversal in capital flows on the model economy, we run two separate experiments. For the first, we consider an experiment inspired by the Hungarian current account expansion and reversal of the early and late 2000s. Starting from an initial steady state with low external liabilities, the economy experiences a sustained expansion in the current account that then stabilizes, followed by an unexpected reversal.

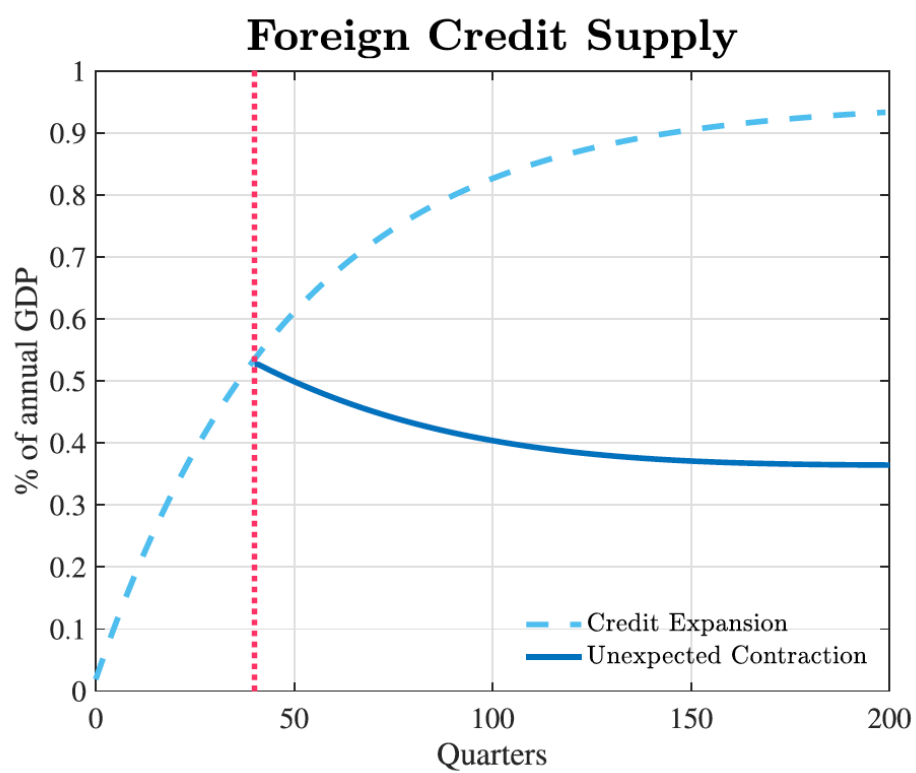
In the baseline experiment we assume that the model economy follows a floating exchange rate regime with all debt foreign-currency denominated, consistent with the Hungarian experience.

## 6 Sudden stop

The main experiment of interest is studying the reversal of foreign credit supply under the baseline scenario of a flexible exchange rate and foreign-currency denominated debt—the empirically relevant case for Hungary during the Global Financial Crisis, where 69% of household debt was denominated in foreign currency.

Under a flexible exchange rate policy, consumption of home and foreign goods by domestic consumers contracts sharply because of the unexpected withdrawal of foreign credit and the fall in wealth due to the debt revaluation. We find, using a utilitarian metric, that under the flexible-exchange rate regime, welfare falls by 0.81% in consumption equivalent variation (CEV) terms.

More than 92% of households would have benefited from the fixed-exchange rate policy. Despite the fact that the fixed exchange rate generates a domestic recession—due to the presence of nominal rigidities—the fixed exchange rate policy is preferred by the vast majority of households. Our framework therefore generates a rationale for “fear of floating” even in the absence of a contractionary devaluation.



**Figure 1** Foreign credit supply shocks.

## 7 Inspecting the mechanism

In this section we perform a series of simpler experiments to understand the forces that underlie the positive and welfare results for the sudden stop. We consider three scenarios: (i) a real benchmark with home-good denominated debt, (ii) flexible exchange rates with foreign-currency denominated debt, and (iii) fixed exchange rates with foreign-currency denominated debt.

The key finding is that the distribution of household leverage is a crucial determinant of aggregate dynamics. When poor households are more highly leveraged, a larger contraction in aggregate consumption takes place, because the fall in net wealth hits households with high marginal propensities to consume. The desirability of a fixed versus floating exchange rate depends crucially on the distribution of household leverage and the fraction of debt denominated in foreign currency.

## 8 Conclusions

The aftermath of the Global Financial Crisis reignited interest in the distributional consequences of aggregate shocks and the role that household heterogeneity plays in the amplification and propagation of said shocks. In this paper we constructed a Heterogeneous Agent New Keynesian Small Open Model Economy (HANKSOME) framework, specifically designed to study these challenges in the international macroeconomics context.

We applied our HANKSOME framework to study a current account expansion and subsequent reversal inspired by the experience of Hungary. We found that a fixed exchange rate regime would have significantly improved welfare in consumption equivalent terms, relative to a flexible exchange rate. This result obtains despite the fact that keeping the fixed exchange rate generates a recession. The desirability of a fixed versus floating exchange rate depends crucially on the distribution of household leverage, and the fraction of debt denominated in foreign currency.

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